

Band money

Working draft. Not adopted law. Not a legal opinion.

29 September 2026

In plain words

- Draft budget posted 30 days before council votes. Members can comment.
- A plain statement of money in and money out every quarter.
- Audited statements and each leader's pay and expenses posted within 120 days of year end.
- If the reports are late, council pay stops until they're posted.

Why this draft is here

Members can't hold anyone to account for money they can't see. This code puts the numbers in front of members on fixed dates, whether or not anyone asks.

1. Purpose and the federal law

- 1.1** This code sets the budget, the quarterly statement, and the audit. The dollar limits on spending are in the spending and contracts code.
- 1.2** The First Nations Financial Transparency Act, section 3, says its purpose is public disclosure of a First Nation's audited consolidated financial statements and the schedules of remuneration paid and expenses reimbursed to its chief and each councillor.
- 1.3** Section 5 requires yearly consolidated financial statements, prepared under generally accepted accounting principles and audited by an independent auditor. Section 6 requires a separate Schedule of Remuneration and Expenses that lists the chief and each councillor separately, with an auditor's report.

- 1.4 Section 7 requires copies for any member who asks, without delay, but the First Nation has until 120 days after year end if the request comes in before then. Any fee must not be more than the cost of the service. Section 8 requires the documents on the First Nation's website within 120 days after year end, kept up for at least 10 years. Posting online does not replace giving a member a copy.

Why this code adds its own consequences

under section 13 of that Act the Minister "may" require an action plan, hold back funding, or end an agreement. The Minister doesn't have to. Members can apply to a superior court under sections 10 and 11, but only after the 120 days have passed. The internal consequences here don't wait for either.

2. Budget

- 2.1 The finance officer posts a draft budget at least 30 days before council votes on it, in plain categories members can follow.
- 2.2 Members may send written comments for 14 days. Council records a response to each comment in the budget resolution.
- 2.3 A budget that was not posted for 30 days is void. Money spent under a void budget must be repaid by the person who approved it, within 30 days.
- 2.4 Council passes the budget by resolution before the financial year starts. If it does not, only these payments may be made, up to the monthly amount in the last adopted budget: payroll for existing positions, utilities, insurance, and payments already due under signed contracts. New hires, new contracts, grants, and loans stop. The finance officer posts a notice on the first day of the year if no budget is in force.

3. Reports members can read

- 3.1 The finance officer posts a quarterly statement within 30 days after each quarter. It shows money in, money out, and the balance against each budget line, in the same categories as the budget. If it is late, council honoraria stop on day 31 until it is posted.
- 3.2 The finance officer gives the auditor the books within 30 days after year end.
- 3.3 The audited statements, the auditor's report, and the Schedule of Remuneration and Expenses are posted within 120 days after year end. A member who asks gets copies within the time the federal Act sets. The first copy to a member is free.
- 3.4 If they are not posted by day 120, the finance officer posts a one page explanation on day 121, and council honoraria stop on day 121 until they are posted.
- 3.5 A direction from anyone on council not to post is void. The explanation must say that the direction was given, and that person's honorarium stays stopped for 90 days after posting.
- 3.6 The statements of every business the First Nation owns, or controls through a partnership, are posted with the audited statements, or the finance officer posts in writing why the law prevents it.
- 3.7 The records officer keeps every report posted for 10 years. Taking one down is a breach. The appeal body orders it restored within 7 days, and the person who removed it may not handle the books for the rest of the term.

4. Pay and expenses

- 4.1 Pay, honoraria, and travel rates are set by a resolution on which nobody votes on their own rate. Rates are posted at least 14 days before the vote. A rate that was not posted is void, and anything paid above the last posted rate is repaid within 30 days.
- 4.2 Council expenses are posted every quarter, per person, with the date, amount, and purpose of each claim over \$100.
- 4.3 A combined line for more than one person on the Schedule of Remuneration and Expenses does not comply. The finance officer reissues it within 14 days of being told. Honoraria stop on day 15 until it is reissued.

5. Changing this code

- 5.1 Council must not amend or suspend this code by resolution. A resolution that tries to is void on the day it is signed, and the appeal body posts that within 14 days.
- 5.2 An amendment passes under the constitution, Part 9: a majority of the votes cast are yes, and at least 25 percent of all electors cast a ballot.
- 5.3 An amendment that removes or weakens a protected rule listed in the constitution, Part 8, passes only if at least two thirds of the votes cast are yes and at least 40 percent of all electors cast a ballot.
- 5.4 The electoral officer posts the full proposed text and a plain summary at least 45 days before the vote, sends it to every elector with a known address, and posts the count within 3 days.

6. Review and coming into force

- 6.1 This code comes into force on the day after the electors approve it under the constitution, Part 9. Until then it is a draft. It does not repeal any election code, by-law, or policy already in force.
- 6.2 Where a law already in force sets its own rule for being replaced, the vote must meet that rule too. A lawyer should compare the two texts before the vote.
- 6.3 The appeal body reviews this code every 4 years from the day it comes into force and posts a written report within 60 days after that anniversary.
- 6.4 Within 90 days of that report, council either puts a recommended amendment to the electors or posts written reasons for not doing so. If council does neither, council honoraria stop on day 91 until one of those is done.
- 6.5 The records officer keeps the adopted text and its plain summary posted for at least 10 years.

Before members vote

This is not legal advice. A lawyer, or a person who works in First Nation governance, should review this draft before members vote. A by-law that conflicts with the Indian Act, the Criminal Code, or other federal law has no effect to the extent of the conflict. Police and prosecutors do not always enforce band by-laws, and the Minister's powers under the First Nations Financial Transparency Act, section 13, are optional. That is why the consequences in this draft are internal: office, pay, repayment, and eligibility.